

that while grocery brings the frequency, higher-margin categories improve the economics.

That is also where private labels enter the equation. Private labels can provide platforms something their traditional fast-moving consumer goods (FMCG) assortment cannot—greater control over pricing, margins, and, importantly, customer relationships.

Instamart, for instance, has been building a portfolio across brands such as Supreme Harvest and Nectr, while Noice has gone a step further, spanning categories from paneer and bread to ice creams and smoothies. Blinkit has Whole Farm, while Zepto has Daily Good. Minutes and Amazon Now are also moving into the space, including through sellers.

But the private-label opportunity is not just about earning more on each product. It could also give platforms a reason for consumers to keep coming back. “I think Swiggy is starting to do that in a very interesting way with Noice. It gives you two things: customer acquisition as well as retention. People start coming to the platform for a particular SKU. So, I may have to buy five things, but if one of them is a Noice product, I’m likely to buy the other four from Instamart as well,” says Goyal.

26 | The economics are straightforward. “For a retailer, private labels are only going to be an upside. It means better margins. But for an FMCG player with 40% gross margins and above, it is very difficult. All this new product development and launch will kind of make them bleed,” Ramanathan says.

For beauty and personal care and other high-intent categories, brands see quick commerce not merely as another route to market, but as a channel that can generate incremental consumption.

Vikas Bagaria, founder and CEO of Pee Safe, says the economics of the channel have worked for the company.

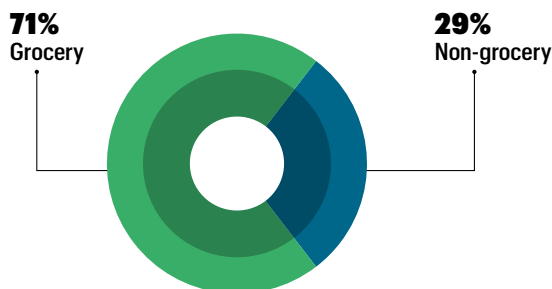
“Quick commerce has evolved from being an additional distribution channel to becoming a strong product-channel fit for our business. We have found quick commerce to be a profitable channel for us, and in many cases, the profitability is better than marketplaces.”

That creates another layer to the private-label battle. Platforms want brands because they bring assortment, traffic and advertising revenue; at the same time, they increasingly want to build brands of their own. And brands, too, are becoming more selective about how much they are willing to spend to win visibility on these platforms.

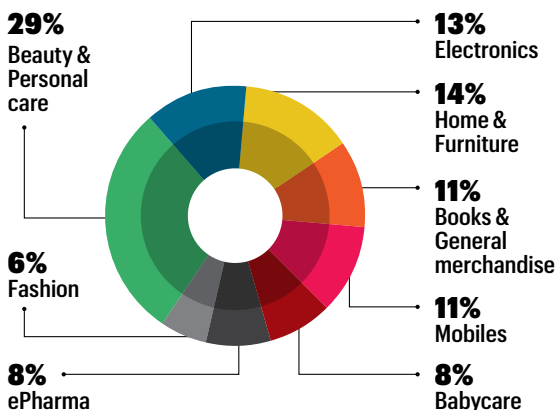
For larger FMCG companies, launching differentiated products and acquiring new-age brands that ca-

MORE THAN JUST MILK AND BREAD

• **Grocery is driving quick commerce, but higher-margin categories such as beauty, electronics, personal care, among others, could play a big role in profitability**



GMV SHARE IN NON-GROCERY



NOTE THE PIE REPRESENTS GROCERY AND NON-GROCERY SUBCATEGORY GMV SHARE AS OF CY25. NON-GROCERY ACCOUNTS FOR 29% OF QUICK-COMMERCE GMV. BPC IS 29% OF NON-GROCERY GMV, IMPLYING A ~8.4% SHARE OF QUICK-COMMERCE GMV

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ter to emerging consumer needs is becoming another way to strengthen their presence on quick commerce.

At ITC, digitally enabled sales, together with Modern Trade, now account for 34% of its FMCG portfolio, says Shuvadip Banerjee, Chief Digital Marketing Officer, ITC Ltd. Over the past year, ITC Foods has in-